



SUMMARY REPORT

Agenda Date: 10/8/2019

To: Board of Supervisors

Department or Agency Name(s): Permit & Resource Management Department (Permit Sonoma)

Staff Name and Phone Number: Tennis Wick 707-565-1925, Regina De La Cruz 707-565-2296

Vote Requirement: Majority

Supervisorial District(s): All

Title:

Fee Waiver for Reduced Fee Schedule of Building Permit, Septic Permit and Grading Permit Fees for Fire Survivors Building New Residences outside the Burn Zone to Promote Recovery Efforts.

Recommended Action:

- A) Approve fee waivers at a 40% reduced fee schedule for building permits, septic permits and grading permits for fire survivors building new residences outside of the burn zone in response to the Sonoma Complex Fire disaster.
- B) Approve quarterly draw on Board of Supervisors General Fund Contingency for waived amounts related to this action.

Executive Summary:

At the recommendation of the Board of Supervisors Recovery Ad Hoc Committee, Permit Sonoma proposes a fee waiver for fire survivors building new residences outside of the burn zone to help the recovery effort and encourage fire survivors to stay in Sonoma County. The waivers will be covered by the Board of Supervisors Contingency fund.

Discussion:

On October 8, 2017, the most destructive wildfire in California history began in Napa County, California and quickly spread to Sonoma County, California and into the City of Santa Rosa. After burning for over three weeks, the fire ultimately destroyed, within the unincorporated County alone, nearly 2,000 residential units and another approximate 1,000 residential accessory structures, with an estimated value of approximately \$1.9 billion.

Permit Sonoma opened the Resiliency Permit Center to support recovery efforts in February 2018. The Resiliency Permit Center charges reduced fees for building permits, septic permits and grading permits for construction in the burn zone because those permits take less time to process. The faster processing speeds and lower permit costs have tremendously helped the rebuild effort in the burn zone. However, some fire survivors are considering rebuilding new residences outside the burn zone.

For equitable reasons, the Ad Hoc requested a partial processing fee reduction similar to the 35-40% reduction for survivors rebuilding on lots in the fire zone, while leaving impact and service connection fees unchanged because the impacts of development of these properties would not be addressed as required for General Plan consistency and code conformance.

Pursuant to Government Code section 26227, the Board of Supervisors may fund programs deemed by the Board to be necessary to meet the social needs of the population of the county, including but not limited to the areas of health, public safety, rehabilitation, welfare and the needs of physically, mentally and financially handicapped persons and aged persons. Staff is recommending the Board find that the proposed discounted permitting costs for fire survivors who wish to rebuild new homes outside the burn zone is necessary to meet the social needs of our community. No other fee payors will have increased fees as a result of this board action; the General Fund will subsidize the discount to promote the recovery effort. All burn zone lots receive reduced fees to rebuild, if the parcel is sold, the new owner receives the same discount. There are approximately 884 parcels that have not pulled permits.

Since the 2017 Fire, staff has received approximately five inquiries about fee reductions for rebuilds outside the fire zone. Meanwhile, as of the date of this report, 1,116 of the 2,000 homes lost have been permitted for reconstruction. Should the demand for rebuilding outside the fire zone remain relatively constant compared to the rate of reconstruction within the fire zone, the County would receive few requests, placing a relatively minor burden on the General Fund.

To continue supporting recovery and to encourage people to stay in Sonoma County, the proposed fee reduction for survivors building outside of the burn zone includes:

1. **Reduced Permit Fees.** A reduced permit fee structure of 40%;
2. **Expedited Processing Times.** An expedited processing time;
3. **Electronic Submittal.** Electronic submittal of building permit, septic permit and grading permit plans;
4. **Scheduling.** Digital, telephone, and in-person scheduling will be available.

The Director of Permit Sonoma will have the authority to consider and grant requests for fee reductions pursuant to this Board direction. General criteria for the fee reduction may include the following: (1) survivors who lost their homes or received severe damage to their homes as a result of the October 2017 fires; and (2) survivors who have decided to rebuild new residences in the unincorporated area of Sonoma County.

Prior Board Actions:

N/A

FISCAL SUMMARY

Expenditures	FY 19-20 Adopted	FY20-21 Projected	FY 21-22 Projected
Budgeted Expenses			
Additional Appropriation Requested	48,000	48,000	48,000
Total Expenditures	48,000	48,000	48,000
Funding Sources			
General Fund/WA GF			
State/Federal			
Fees/Other			
Use of Fund Balance			

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Contingencies	48,000	48,000	48,000
Total Sources	48,000	48,000	48,000

Narrative Explanation of Fiscal Impacts:

The projected fiscal impact of providing incentive discounts for fire survivors with qualifying rebuild activity that is outside of the designated burn area is \$144,000, with an average discount per project of \$4,800. The total discount amount per year is estimated at \$48,000, including discounts applied to permits for grading and septic. These estimated amounts are based on actual rate reductions that were allowed to fire survivors who initiated rebuild activity within the designated burn area in FY 2017-18 and FY 2018-19. The expected number of qualifying projects outside of the burn zone is ten per year, with an average percentage discount of 37%. Staff will return at quarterly consolidated budget adjustments or as activity warrants, with actual activity waiver amounts to transfer from the Board's Contingency fund.

Narrative Explanation of Staffing Impacts (If Required):

N/A

Attachments:

N/A

Related Items "On File" with the Clerk of the Board:

N/A